

Micron Technology, Inc.

MU NASDAQ

Buy	\$1069.50 ▲ 0.41%	12M Price Target \$1250.00	52-Week Range \$165.50 – \$1255.00	Market Cap \$1.21T
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MU: Earnings Today, AI Memory Boom Meets CHIPS Act Tailwind

WHAT HAPPENED

- MU reports earnings TODAY after the close — the stock is basically flat (\$1069, +0.4%) but that hides real tension. It's up ~10x from the 52-week low of \$165, so expectations are massive. The GuruFocus "warning sign" headline is noise, but it reflects real jitters: when you've had a monster run, even a great print can trigger profit-taking.
- Options flow is loudly bullish — 12,000+ calls at the \$1070 strike expiring in October went up (5.7x normal open interest, ~\$47M notional). That's someone with conviction betting earnings blow the doors off, or hedging a big long position. Put/call at 0.61 says smart money is leaning long into the print.

WHY IT MATTERS

Here's the setup: Micron is the ONLY US-based maker of HBM (high-bandwidth memory — the stuff stacked next to Nvidia GPUs that makes AI training possible), and demand is structurally sold out. Tonight's earnings aren't really about the quarter — they're about the 2027 guide on HBM pricing and capacity. If management signals HBM4 is fully booked into 2027 at firm pricing, this stock keeps grinding higher; if they hint at even slight softness in commodity DRAM (the memory in phones and PCs), the stock could give back 8-10% overnight because it's priced for perfection. The bigger picture: memory is finally behaving like a strategic asset, not a boom-bust commodity, and Washington is treating it that way too — which is the real reason the multiple has re-rated.

POLICY & POLITICAL WATCH

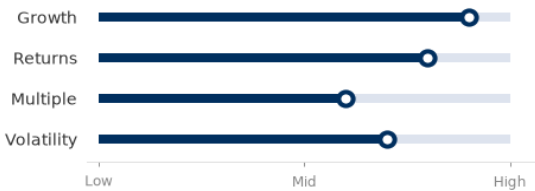
Micron is arguably the single biggest corporate beneficiary of the CHIPS Act — they've been awarded ~\$6.1B in direct funding plus loan guarantees for their Idaho and New York fabs, and the Trump administration has (surprisingly to some) kept the funding flowing while adding tariff pressure on foreign chips, which is a double win for MU. Watch two things: (1) any expansion of the AI chip export controls to China — Micron sells HBM into that market and tighter rules would ding near-term revenue but likely tighten global supply further (net bullish long-term); (2) the ongoing Commerce Department review of semiconductor tariffs — if Section 232 tariffs on foreign memory get imposed, Samsung and SK Hynix take the hit and MU gains US pricing power. The regulatory wind is at their back.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1069.50
12M Price Target	\$1250.00
Upside / (Downside)	+16.9%
Market Cap	\$1.21T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$12.50
FY2027E EPS	\$18.75
Fwd P/E	85.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1200.00	\$1100.00	\$950.00
6 Months	\$1400.00	\$1200.00	\$850.00
1 Year	\$1600.00	\$1250.00	\$750.00
2 Years	\$2000.00	\$1500.00	\$600.00
5 Years	\$3000.00	\$2000.00	\$500.00
10 Years	\$5000.00	\$3000.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.99% today) leading again, driven by AI infrastructure names — semis, networking, data center power. The AI capex cycle from hyperscalers (Microsoft, Meta, Google, Amazon) shows no sign of slowing into 2027 budgets.

COOLING OFF: Materials (-2.4% over 5 days) and Consumer Discretionary weakening — classic signal that money is moving OUT of cyclicals and INTO secular growth (AI). Tariff uncertainty is also weighing on materials.

ROTATION WATCH: Money is rotating from broad tech into specifically AI-levered names — MU, NVDA, and networking plays are absorbing flows from software names that lack the same physical AI exposure.

RELATED PLAY: If MU's HBM story confirms tonight, SanDisk (SNDK) and the memory equipment makers (Lam Research, Applied Materials) get pulled higher — they sell the picks and shovels to Micron.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): The demand-side of MU's supply story — every Nvidia GPU sold needs MU's HBM, so they move in tandem on AI capex news.
- SNDK (SanDisk): NAND flash play riding the same AI storage buildout tailwind, mentioned today as a co-winner with MU.

MU CONTEXT: MU has been LEADING the memory group and pacing NVDA on the way up — which tells you the market has finally accepted memory is no longer a pure commodity. As long as MU keeps outperforming pure DRAM peers, the "this cycle is different" thesis is intact.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$1000-1050 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, DRAM oversupply cycle returns, or China export restrictions widen materially

Hedging: Pair with a short on a lagging memory name or buy protective puts around earnings